

Bubble & Bee

[please note and utilize the pro forma tool provided]

Stephanie Greenwood needs your help. She needs to make projections regarding the next 3 years of Bubble & Bee's financial performance in order to make expansion decisions regarding online vs wholesale vs a hybrid approach. As she notes "I'm a chemist, not some desk jockey [with an MBA]".

She needs to make a decision whether to RENT additional space, or PURCHASE A BUILDING. She would like to understand a baseline of no growth in UNIT demand, vs a 15% growth in each scenario. She also needs to decide whether to pursue a wholesale distribution component in her sales, or remain 100% online.

Introduction

What is the situation in Bubble & Bee finds itself? What is its history? Why did Stephanie found the company? What question are you answering with this memo?

Business Analysis

First, Focus on the Bubble and Bee business, leaving finance aside as much as possible.

- 1) Describe the business in which Bubble and Bee operates. What kind of Key Performance Indicators (KPIs) might you recommend from an *operational* standpoint, and market perspective
- 2) What is the business structure, explain implication
- 3) What companies will you use as comparables and why?
- 4) What growth is expected, and how will you frame your analysis in a scenario setting?

Financial Analysis

- 1) Build out the pro formas for 3 years based on Stephanie's baseline under:
 - a. RENT additional space, no growth in Unit Demand
 - b. RENT additional space, 15% growth in Unit Demand
 - c. PURCHASE building, no growth in Unit Demand
 - d. PURCHASE building, 15% growth in Unit Demand
 - e. For each GROWTH scenario, Model the 15% Wholesale-85% Online sales scenario
- 2) Based on your pro formas, evaluate for each scenario:
 - a. **Cash** Conversion Cycle for each (don't use average numbers, use whole numbers)
 - b. Gross, Operating and Net **Profitability**. Explain the implications of each outcome (note the change in depreciation modeling under purchase option)
 - c. Business **efficiency** (again, to capture impact of CAPEX, use whole rather than average numbers).

- Revenue/Assets
- ROA
- ROE (why is ROE a useful number to report to Stephanie)

Your Recommendation

Based on your analysis, should Stephanie RENT or PURCHASE a building. Why?

Based on your market and financial analysis, is 15% growth realistic? Conservative? Why or Why not?

Is the current organizational structure of Bubble and Bee appropriate? Why or Why Not?

What do you recommend?

Your Memo should be 3-5 pages, plus tables and exhibits. Please submit your Memo and corresponding Excel Sheet to canvas.